

# Silicon Valley Bank: The Run

**Greg Becker**  
**Chief Executive Officer**  
**Silicon Valley Bank**

**Date:** March 9, 2023

--

Greg Becker stared at the trading screen on the afternoon of March 9, 2023. Silicon Valley Bank's stock had fallen 60% during the trading session, and withdrawals were accelerating. In the last 24 hours, depositors had pulled \$42 billion from the bank—nearly a quarter of its total deposit base. Another \$100 billion in withdrawal requests queued for the following day.

Two days earlier, Becker had announced what he thought was a prudent move: selling \$21 billion of the bank's bond portfolio at a \$1.8 billion loss and raising \$2.25 billion in fresh capital. The announcement was meant to shore up the bank's balance sheet. Instead, it had triggered panic among the venture capitalists and tech startups that comprised SVB's depositor base.

Now Becker faced a decision. Should he try to calm depositors and complete the capital raise? Seek a buyer for the entire bank? Or was it already too late?

## Silicon Valley Bank

Founded in 1983, Silicon Valley Bank had grown to become the 16th largest bank in the United States, with \$211.8 billion in assets and \$173.1 billion in deposits as of December 31, 2022. Unlike traditional banks that served a broad base of retail customers, SVB focused almost exclusively on technology startups, venture capital firms, and life science companies. This niche strategy had served the bank well for nearly four decades.

Becker had joined SVB in 1993 and became CEO in 2011. Under his leadership, the bank expanded rapidly, particularly during the technology boom of 2020-2021. When venture capital funding flooded into startups, those companies deposited their funds at SVB. The bank's deposits more than tripled from \$62 billion at the end of 2019 to over \$200 billion by March 2022.

This growth came with a distinctive risk profile. Unlike most banks where the majority of deposits were insured by the Federal Deposit Insurance Corporation (FDIC) up to \$250,000 per account, SVB's depositors were primarily companies with millions—or hundreds of millions—in their accounts. As of December 2022, approximately 94% of SVB's deposits exceeded the FDIC insurance limit. These uninsured deposits could move quickly if depositors lost confidence.

## The Investment Portfolio

As deposits surged in 2020 and 2021, SVB needed to invest the cash. Rather than growing its loan book, the bank chose to invest heavily in U.S. Treasury bonds and agency mortgage-backed securities—among the safest fixed-income investments available. By December 2022, SVB held \$120.1 billion in investment securities, compared to \$74.3 billion in loans.

But there was a catch. SVB invested in long-duration bonds—many with maturities of 10 years or more—at a time when interest rates were near zero. These bonds paid low yields, typically 1.5% to 2%. When the Federal Reserve began raising rates aggressively in 2022 to combat inflation, the market value of these bonds fell sharply. A 10-year bond loses approximately 10% of its value for every 1% increase in interest rates.

The Fed's rate hikes from March 2022 to February 2023 were unprecedented in speed and magnitude. The federal funds rate rose from 0.25% to 4.5%—a 425 basis point increase in less than a year.

SVB's financial statements showed the result. As of December 31, 2022, the bank's held-to-maturity (HTM) securities were carried at amortized cost of \$91.3 billion, but their fair value was only \$76.2 billion—a \$15.1 billion unrealized loss. The available-for-sale (AFS) portfolio showed an additional \$2.5 billion in unrealized losses. Total unrealized losses exceeded \$17 billion.

Under accounting rules, HTM securities were carried at amortized cost rather than fair value, meaning the unrealized losses did not affect the bank's reported capital ratios. SVB appeared well-capitalized: its CET1 ratio was 12.05%, well above the regulatory minimum of 7%. But if the bank were forced to sell these securities, the losses would become real.

## The Liquidity Crunch

Through 2022, SVB faced a different problem. As venture capital funding slowed—global VC funding declined 30% in 2022—startups burned through their cash deposits to fund operations. SVB's deposits began to decline. The bank needed cash to meet withdrawal requests.

SVB's investments were safe in the sense that the bonds would pay their full value if held to maturity. But they were not liquid in the sense that selling them before maturity would crystallize losses. The bank had, in effect, borrowed short from depositors (who could withdraw anytime) and invested long in bonds that wouldn't mature for years.

On March 8, 2023, Becker made the decision to act. SVB sold \$21 billion of its AFS securities, recognizing a \$1.8 billion after-tax loss. Simultaneously, the bank announced plans to raise \$2.25 billion in capital—\$1.25 billion in common stock and \$500 million in convertible preferred shares from private equity firm General Atlantic, with another \$500 million in a public offering.

The announcement was intended to demonstrate that the bank was addressing its balance sheet proactively. Instead, it had the opposite effect.

## The Run

Within hours of the March 8 announcement, prominent venture capitalists began urging their portfolio companies to withdraw funds from SVB. The message spread rapidly on social media and in private Slack channels. By March 9, the bank run was in full force.

The speed and scale were unprecedented. On March 9 alone, depositors attempted to withdraw \$42 billion—24% of total deposits in a single day. By the end of the day, SVB had a negative cash balance of \$958 million. Another \$100 billion in withdrawal requests had queued for March 10.

Becker went on a conference call with venture capitalists and depositors on March 9 afternoon. “Stay calm,” he urged. “The bank has ample liquidity.” But when asked whether the capital raise would be the last, he couldn’t guarantee it. The stock continued to fall.

By the morning of March 10, SVB had abandoned efforts to raise capital and was seeking a buyer. But with depositors fleeing, finding a buyer proved impossible. At 11:30 AM Pacific time, the California Department of Financial Protection and Innovation shut down SVB and appointed the FDIC as receiver. It was the second-largest bank failure in U.S. history.

## The Decision

Becker stood at a crossroads on the afternoon of March 9. The capital raise announced the previous day had not stopped the panic—if anything, it had accelerated it. The stock price continued to plummet. Depositors were fleeing.

What should Becker do? Should he continue trying to complete the capital raise and reassure depositors? Seek a buyer for the bank? Were there other options he hadn’t considered? And how had SVB—a well-capitalized bank by regulatory standards—reached this point so quickly?

--

## Exhibits

### Exhibit 1: SVB Financial Highlights (2018-2022)

| Metric                 | 2018   | 2019   | 2020    | 2021    | 2022              |
|------------------------|--------|--------|---------|---------|-------------------|
| Total Assets (\$B)     | \$56.9 | \$71.0 | \$115.5 | \$211.5 | 211.8  TotalD. B) |
| CET1 Capital Ratio (%) | 9.1%   | 9.4%   | 10.3%   | 12.0%   | 12.1%             |

**Source:** SVB Financial Group Annual Reports (10-K filings), SEC EDGAR.

## Exhibit 2: SVB Investment Portfolio Composition (December 31, 2022)

| Classification              | Amortized Cost<br>(B) Fair Value(B) | Unrealized Loss (\$B) |                 |
|-----------------------------|-------------------------------------|-----------------------|-----------------|
| Held-to-Maturity<br>(HTM)   | \$91.3                              | \$76.2                | (\$15.1)        |
| Available-for-Sale<br>(AFS) | \$28.5                              | \$26.0                | (\$2.5)         |
| <b>Total</b>                | <b>\$119.8</b>                      | <b>\$102.2</b>        | <b>(\$17.6)</b> |

**Note:** HTM securities carried at amortized cost on balance sheet; unrealized losses disclosed in footnotes but not reflected in regulatory capital ratios. AFS unrealized losses reflected in accumulated other comprehensive income (AOCI), from which SVB had opted out for regulatory capital purposes.

**Source:** SVB Financial Group 10-K, December 31, 2022, SEC EDGAR.

## Exhibit 3: Deposit Concentration (December 31, 2022)

| Category                     | Amount (\$B) | Percentage |
|------------------------------|--------------|------------|
| Total Deposits               | \$173.1      | 100%       |
| Insured Deposits (<\$250K)   | \$10.4       | 6%         |
| Uninsured Deposits (>\$250K) | \$162.7      | 94%        |

**Note:** FDIC insurance covers deposits up to \$250,000 per depositor, per insured bank, for each account ownership category. The vast majority of SVB's deposits were from corporate clients with balances far exceeding this limit.

**Source:** Federal Reserve OIG Material Loss Review, September 2023.

## Exhibit 4: Federal Funds Rate (2020-2023)

| Date           | Federal Funds Rate |
|----------------|--------------------|
| March 2020     | 0.25%              |
| March 2022     | 0.50%              |
| May 2022       | 1.00%              |
| June 2022      | 1.75%              |
| July 2022      | 2.50%              |
| September 2022 | 3.25%              |
| November 2022  | 4.00%              |
| December 2022  | 4.50%              |
| February 2023  | 4.75%              |

**Source:** Federal Reserve Board, FRED Economic Data.

## Exhibit 5: Timeline of SVB Collapse

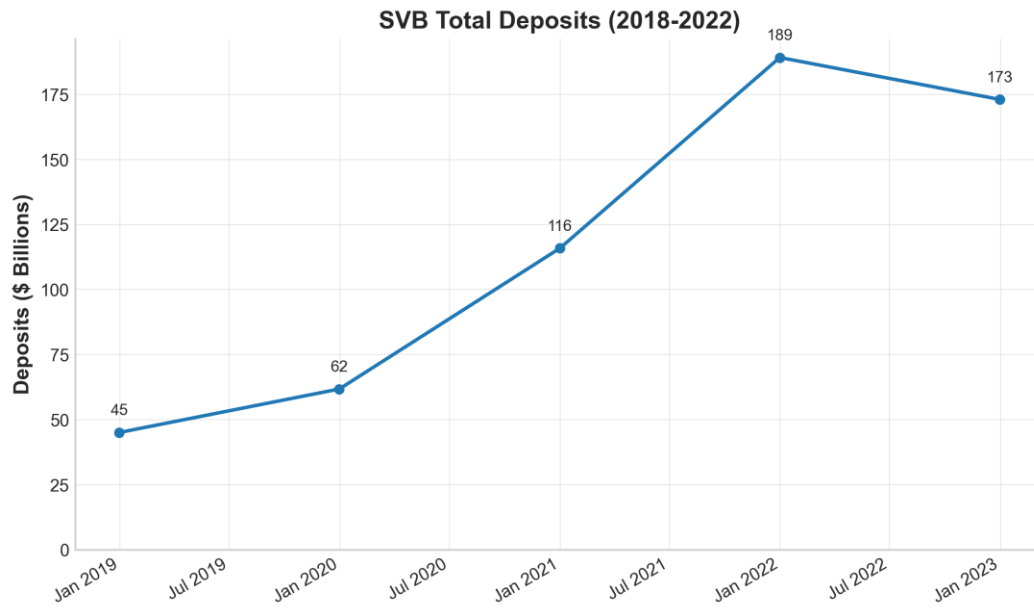
| Date                         | Event                                                          |
|------------------------------|----------------------------------------------------------------|
| March 8, 2023 (AM)           | SVB announces sale of \$21B AFS securities at \$1.8B loss      |
| March 8, 2023 (PM)           | SVB announces \$2.25B capital raise; Moody's downgrades SVB    |
| March 9, 2023 (AM)           | Stock price falls 60% in pre-market trading                    |
| March 9, 2023 (PM)           | Becker hosts conference call urging depositors to "stay calm"  |
| March 9, 2023 (EOD)          | \$42B in deposits withdrawn; negative cash balance of \$958M   |
| March 10, 2023 (AM)          | Trading halted; SVB abandons capital raise, seeks buyer        |
| March 10, 2023 (11:30 AM PT) | California regulators shut down SVB; FDIC appointed receiver   |
| March 12, 2023               | Treasury, Fed, FDIC announce all depositors will be made whole |

**Source:** California DFPI Order, FDIC Press Releases, SEC filings.

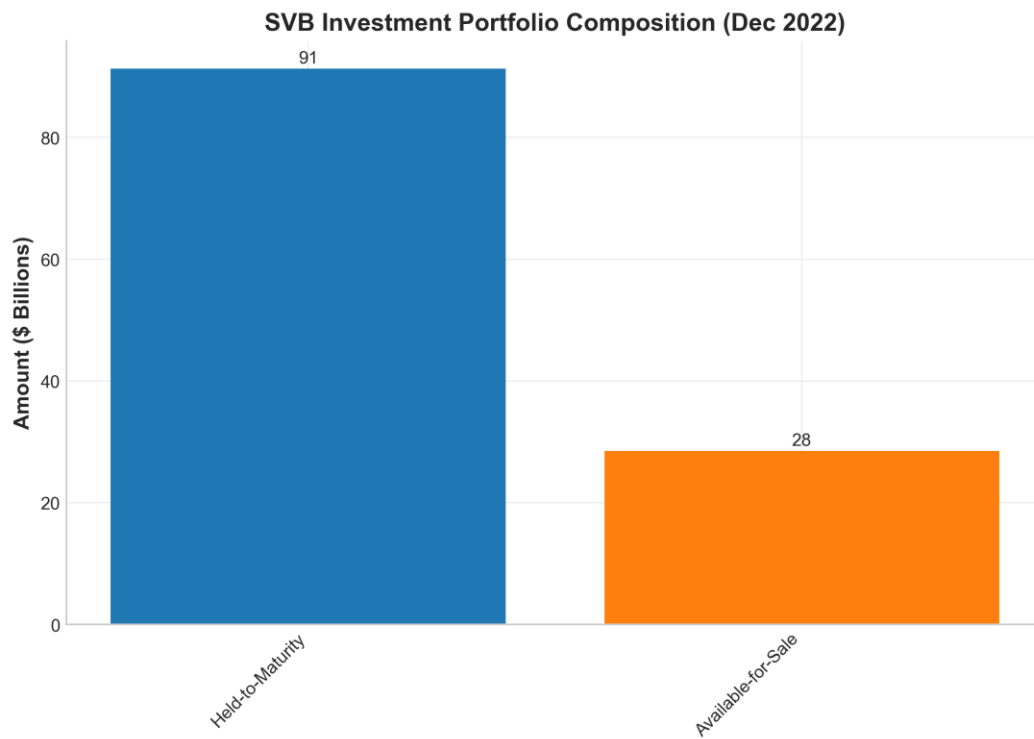
--

*Harvard Business School case studies are developed solely as the basis for class discussion. Cases are not intended to serve as endorsements, sources of primary data, or illustrations of effective or ineffective management.*

## Figures

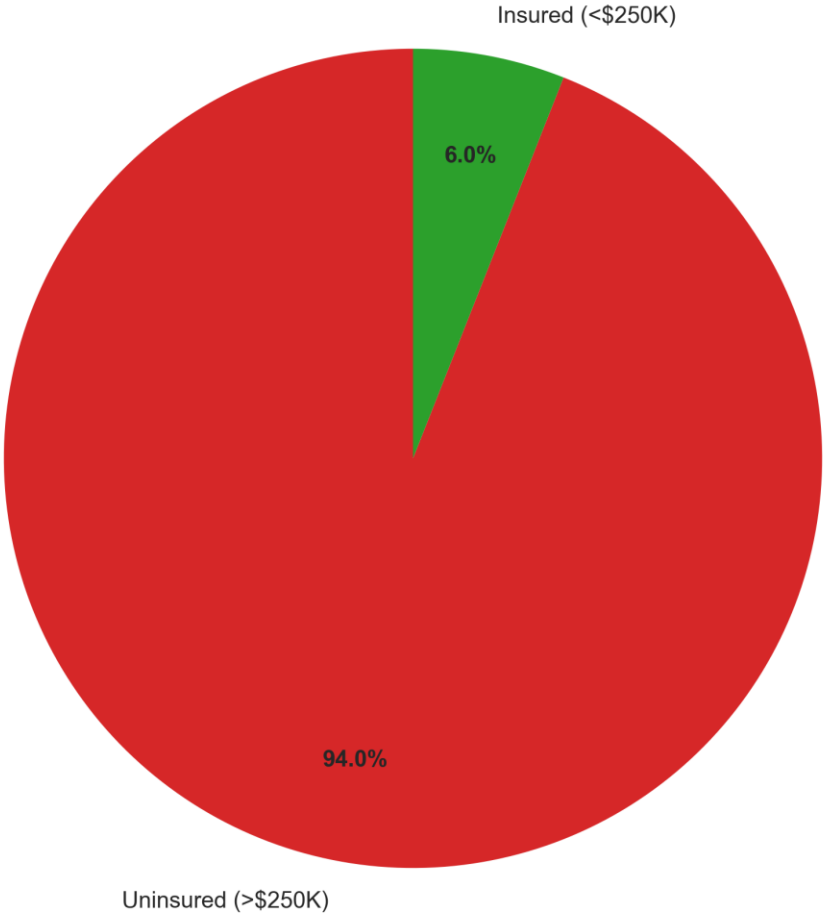


*Exhibit 1: SVB Deposit Growth*



*Exhibit 2: Investment Portfolio Composition*

**SVB Deposit Insurance Status (Dec 2022)**



*Exhibit 3: Uninsured Deposit Concentration*

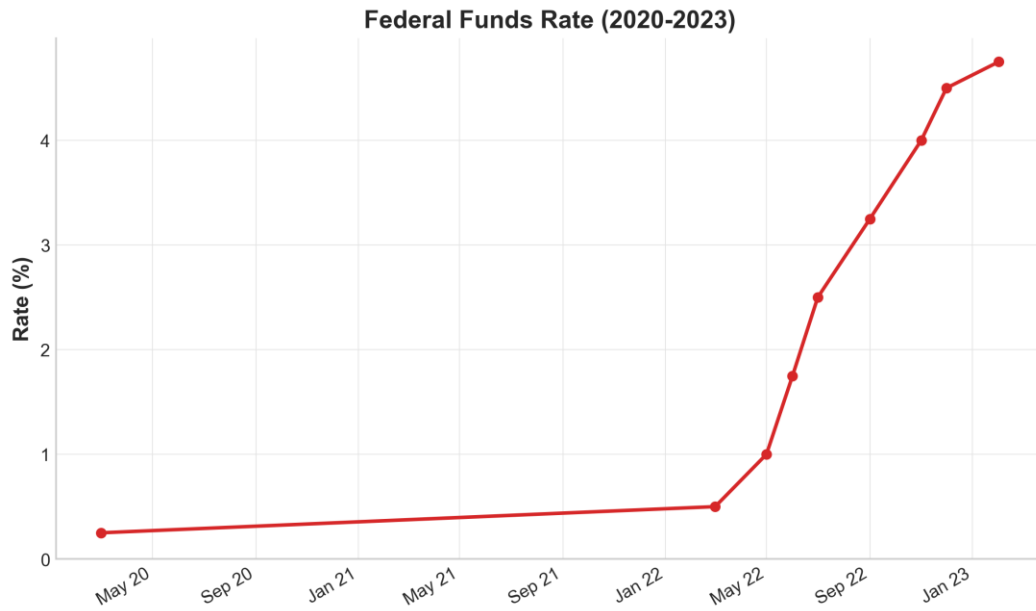


Exhibit 4: Federal Funds Rate

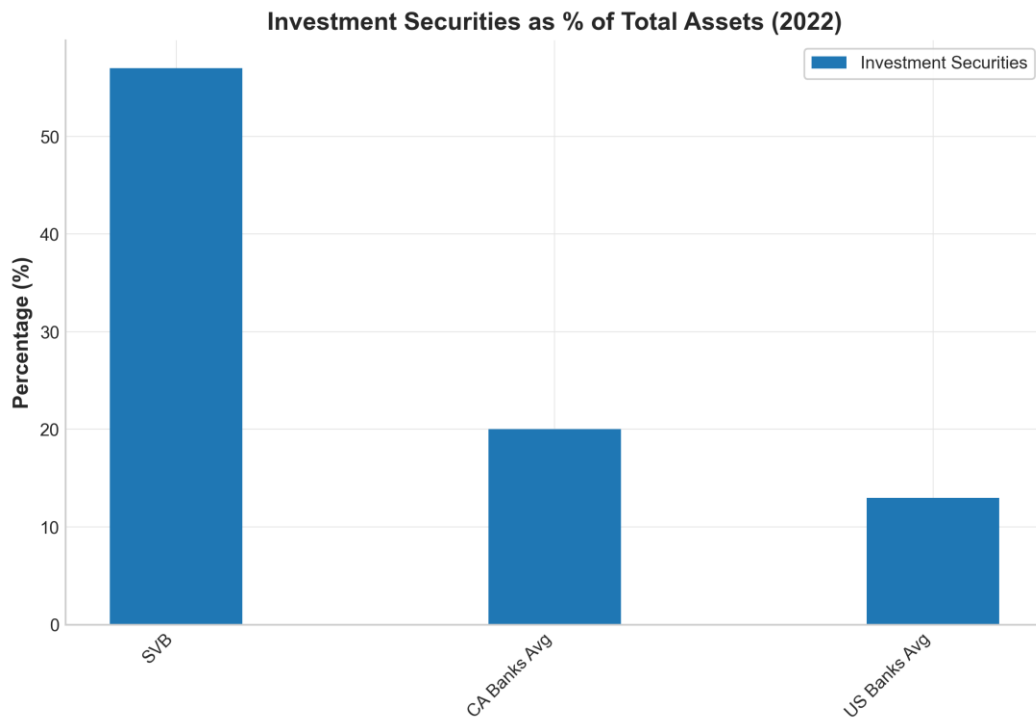
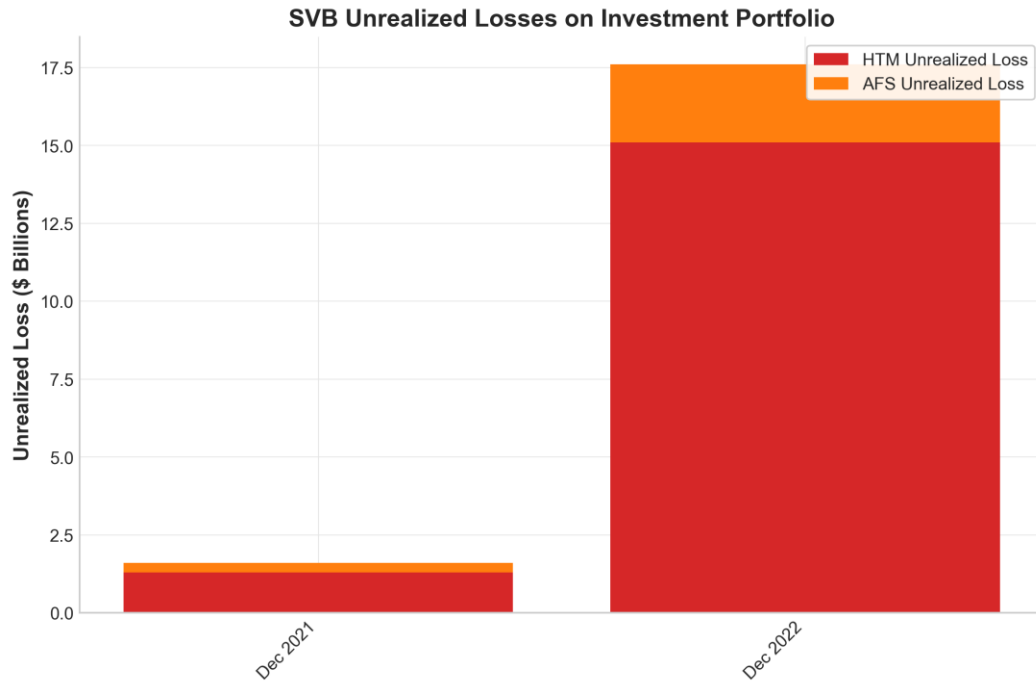


Exhibit 5: Peer Comparison





*Exhibit 6: Unrealized Losses*